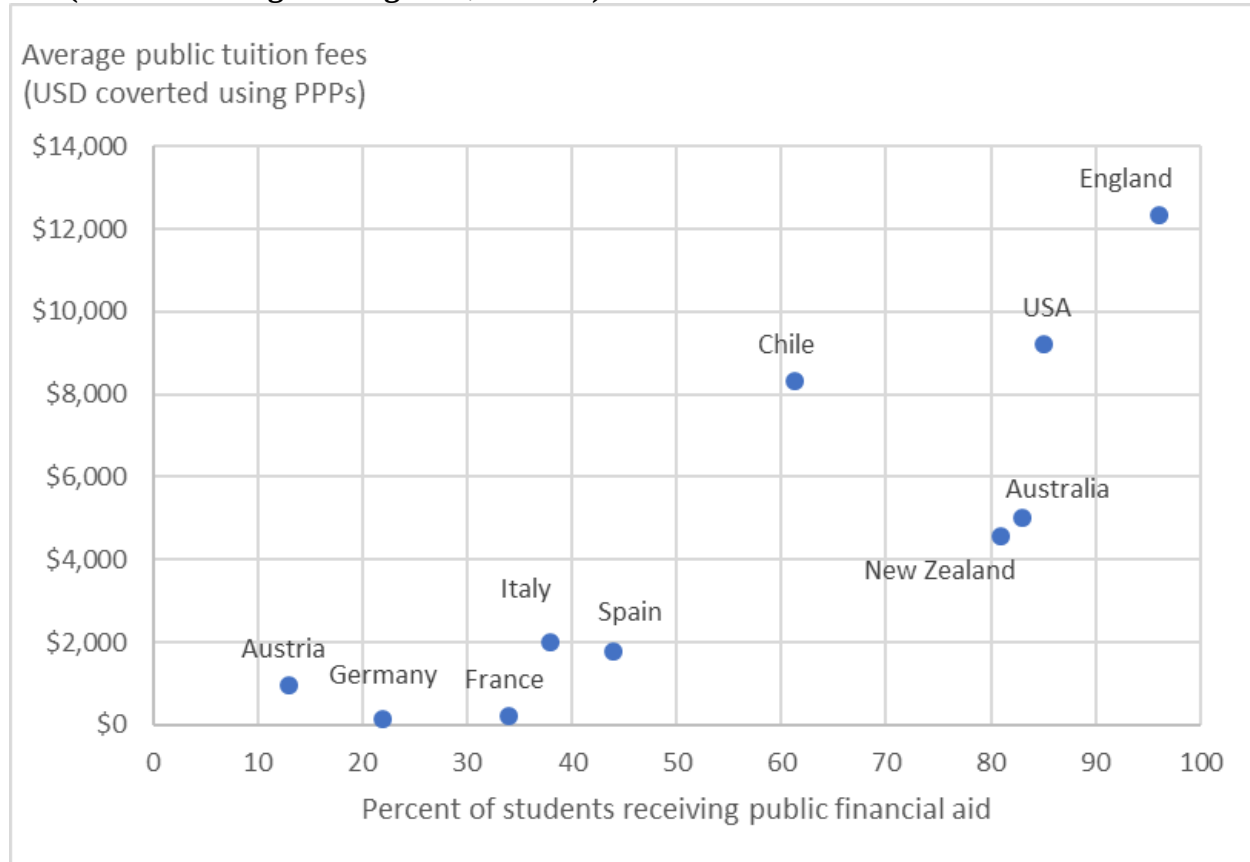


To students and families, government subsidies to schools are largely invisible, and they are not typically included in discussions about financial aid policy. We include them in this chapter because they are one of the largest sources of support for undergraduates. Further, because decreasing support through one channel may be countered by increases in the other, it is important to consider them both.

Figure 1. Average Public Tuition Fees and Percent of Students Receiving Public Financial Aid (Bachelor's Degree Programs, 2019-20)



Source: OECD (2021), Tables C5.1 and C5.2.

Table 1 provides an overview of the current landscape of support for undergraduates in the U.S., as well as trends over the past 30 years.³ In addition to direct appropriations, which reduce tuition costs but are essentially invisible to students, financial aid takes a multitude of forms. The federal programs established in Title IV of the Higher Education Act of 1965 are known collectively as “Title IV aid” and included the precursors to Pell Grants, Direct Loans, and Federal Work-Study. Title IV aid also includes a variety of smaller federal programs which have come and gone over time (Perkins Loans, SEOG, LEAP, and SMART grants). Veterans’ benefits and tax benefits for college are two sources of federal aid outside of the Title IV system; these both grew rapidly

³ Non-federal loans (totaling \$11.7 billion in 2018-19) are not included in this table. These are mainly private loans, which require a cosigner or guarantor with a credit record. In this they more closely resemble consumer credit than government loans.